

8	Householder v. Travismathew, LLC 2025-01480069 Motion for Order to Stay Proceedings	Defendant Travismathew, LLC's Motion to Stay Action pending appeal is DENIED. Defendant moves for an order staying the action pending appeal of the Court's Order denying Defendant's Motion to Compel Arbitration. Defendant's request for judicial notice/supplemental request for judicial notice The Court GRANTS Defendant's request for judicial notice. (Evid. Code § 452, subd. (d).) Legal standard "Except as provided in Sections 917.1 to 917.9, inclusive, and in Section 116.810, the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order." (Code Civ. Proc., § 916, subd. (a).) Senate Bill (SB) 365, enacted in 2023, amended California Code of Civil Procedure section 1294 to no longer mandate an automatic stay during the pendency of an appeal of a motion to compel arbitration. Code of Civil Procedure section 1294 now provides the following: "An aggrieved party may appeal from: (a) An order dismissing or denying a petition to compel arbitration. Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceedings in the trial court during the pendency of the appeal." (Code Civ. Proc., § 1294, subd. (a).) Defendant contends the parties do not dispute the FAA applies, and the FAA mandates a stay of the action pending the appeal pursuant to <i>Coinbase, Inc. v. Bielski</i> (2023) 599 U.S. 736. Whether an automatic stay under the FAA is warranted In its 3/9/26 Order denying Defendant's motion to compel arbitration the Court stated: Defendant moves to compel arbitration pursuant to a Mutual Agreement to Arbitrate Claims (Agreement). The Agreement provides: "This Agreement is covered and enforceable under the terms of the Federal Arbitration Act." (Dolar Decl., ¶ 4, Exh. 1 at 2.) Plaintiff does not dispute the application of the FAA.
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	(ROA 57.) "[T]he procedural provisions of the FAA apply in federal court proceedings related to arbitrations and, by their own terms, do not apply in state court." (<i>Wright v. WellQuest Elk Grove, LLC</i> (2026) 119 Cal.App.5th 267, 279 [citations omitted].) "Nevertheless, 'the FAA's procedural rules may apply if the parties expressly agree they do or if the CAA's procedural rules are preempted.'" (<i>Ibid.</i> [citations omitted].) Conversely, "because the CAA applies by default, the parties need not expressly adopt those provisions." (<i>Id.</i> at p. 283.) The Court does not find the parties' agreement expressly adopts the FAA's procedural provisions and therefore the procedural provisions of the CAA, including section 1294, apply. Accordingly, an automatic stay is not mandated. Whether section 1294 is preempted by the FAA Defendant cites no authority holding section 1294 is preempted by the FAA. Moreover, the "sole question" before the Court in <i>Coinbase v. Bielski</i> (2023) 599 U.S. 736, 738, was "whether a <i>district court</i> must stay its proceedings while the interlocutory appeal on arbitrability is ongoing." (Emphasis added.) In holding a district court must stay its proceedings the Court relied on the <i>Griggs</i> principle (<i>Griggs v. Provident Consumer Discount Co.</i>, (19982) 459 U.S. 56, 58), which again "dictates that the <i>district court</i> must stay its proceedings while the interlocutory appeal on arbitrability is ongoing." (<i>Id.</i> at p. 742 [emphasis added].) <i>Coinbase</i> did not address the issue of whether the FAA preempts section 1294 and explicitly specified its holding related to federal court proceedings. Finally, application of section 1294 does not conflict with the FAA as it does not interfere with Defendant's right to appeal or the right to proceed with arbitration should it succeed on its appeal regardless of whether a stay is granted. The Court's discretion to stay the action Code of Civil Procedure section 1294 gives courts the discretion to grant or deny a stay pending appeal. "[W]hen deciding whether to grant or deny a stay, the court, in its sound discretion, must assess and balance the nature and substantiality of the injustices claimed on either side." (<i>Alpha Media Resort Inv. Cases</i> (2019) 39 Cal.App.5th 1121, 1134 n.10 [citations omitted].) The Legislative history of Senate Bill 365 reflects the Legislature's concerns that arbitration agreements can place "employees at a significant disadvantage due to their relative
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		lack of power and knowledge,” and that an automatic stay allows “powerful corporations [to] delay cases filed against them for typically one to three years.” (California Bill Analysis, S.B. 365 Sen., 7/12/23.) The Legislature further explained the purpose of Senate Bill 365 was to give “courts discretion to allow . . . workers to move their case forward if a company files an appeal, rather than waiting for years while the appeal is heard. SB 365 will level the playing field for . . . workers who deserve to move their case forward when a company or employer violates their rights.” (California Bill Analysis, S.B. 365 Sen., 7/12/23.) The balance of hardships does not favor a stay, particularly as this matter has been pending for over a year and further delay may prejudice Plaintiff’s right to promptly litigate her claims. Defendant contends generally that proceeding with the action would result in high litigation costs and further contends it would be prejudiced as proceeding with the litigation may be construed as Defendant’s waiver of his right to compel arbitration. This argument is without merit as Defendant has already moved to compel arbitration and has appealed the Court’s denial of that motion.
9	Morris Cerullo World Evangelism v. G10 Law 2026-01543337 Motion for Change of Venue	The Motion to Transfer Venue by Defendants G10 Law, Louis A. Galuppo, and Georgia Z. Schneider is GRANTED. This legal malpractice case arises from the attorney Defendants’ handling of an underlying real property lawsuit, Orange County Case No. 21-01227550. Defendants assert that venue in San Diego County is proper because all parties reside in San Diego County and the attorney-client relationship was formed and carried out in that County. Plaintiffs oppose the motion on the grounds that venue is proper in Orange County because the lawsuit is premised on Defendants’ breach of duties related to their contract to perform legal services in the underlying Orange County Superior Court lawsuit related to real property located in Santa Ana. <u>Legal Standard:</u> Code of Civil Procedure § 395(a) states in part, “Except as otherwise provided by law and subject to the power of the court to transfer actions or proceedings as provided in this title, the superior court in the county where the defendants or some of them reside at the commencement of the action is the proper court for the trial of the action. If the action is